



Qualification Programme Examination Panelist's Report

Module 3 – Business Economics (December 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 15 multiple choice questions covering the whole syllabus (on economics and business statistics). Good performance in this section would reflect that candidates had developed a solid understanding of the relevant concepts and the ability to apply the concepts in different settings as well as handle the calculations well.

Overall, candidates performed satisfactorily in the category of “Knowledge” but demonstrated marginally weaker performance under “Application” and “Computation”.

Specific Comments

Candidates' performance was weak in the following areas:

- Applying basic definitions to determine the outcome in scenarios that involve the interactions of related variables. For example, MC4 (“Knowledge” and “Application” categories) asked the candidates to determine how the loss of jobs by workers who are determined to start looking for a new job and thus remain in the labour force would affect the unemployment rate. Candidates who are not familiar with the definition of unemployment rate and how it is related to “number of employed”, “number of unemployed”, and “labour force” would likely get the wrong answer.
- Unfamiliarity with key concepts and formulas and their use in both economic and statistical issues. As an example of this, please refer to questions MC11 (“Calculation” category) on mid-point price elasticity of demand calculation and MC14 (“Calculation” category) on the coefficient of variation.

In preparing for the examination, candidates are advised to review the issues from the three perspectives mentioned above (i.e., knowledge, application and calculation).

Moreover, an efficient and effective way for candidates to gain a basic understanding of the whole syllabus and the types of questions that they might face in the examination is to look at past examination papers and review the relevant sections of the supplementary readings, including the economics and statistics reference books assigned for this module.



(II) Section B – Written Questions

General Comments

This section consisted of four questions. Performance ranged from poor to good, with an overwhelming majority skewing toward the former, especially in Question 2.

Specific Comments

Question 1(a) – 2 Marks

The question asked candidates to define substitutes and complements in consumption.

Overall performance was good. The overwhelming majority of candidates were able to provide a rough definition for the terms.

Question 1(b) – 3 Marks

This question required candidates to state any three factors that would affect demand (i.e., result in a shift of the demand curve) and supply (i.e., result in a shift of the supply curve).

Overall performance was satisfactory. Most candidates were able to provide at least two factors that would affect the supply. However, most of the answers were not presented in a “textbook answer format”, reflecting that candidates might not be as familiar with the study materials as they should be for examination purposes.

Question 1(c) – 2 Marks

This question was meant to test candidates’ understanding of how graphical analysis (conducted in a two-dimensional space) can be applied to study demand for a commodity affected by multiple factors.

Overall, performance was unsatisfactory. While candidates receiving full marks were able to point out correctly the differences between “change in demand” (i.e., a demand curve shift) and “change in quantity demanded”, many candidates were unaware of how the Greek phrase “ceteris paribus” (meaning all else being equal) would result in the difference between “change in demand” and “change in quantity demanded”.

Question 1(d) – 2 Marks

This question required candidates to analyse how (i.e., the channels through which) the opening of new cinemas would affect the demand and/or supply of the movie tickets.



Overall performance was unsatisfactory. Quite a lot of candidates were unable to determine that the direct effect of the event should be on the supply side, thereby increasing the supply of theatre seat/tickets (i.e., shifting the supply curve to the right) and affecting the equilibrium (i.e., with price down and quantity up).

Question 1(e) – 3 Marks

The question asked candidates to analyse how the change in the price of snacks, which are complements to “movie watching”, affects the demand and/or supply of the movie tickets.

The level of difficulty of this question is higher than that of part (d), as the impact of the change in the price of snacks on movie tickets’ demand is indirect (through its complimentary role to movie watching).

Overall, performance here was marginally better than on part (d). Most candidates were able to break down the effects into three parts: (1) an increase in the (own) price of snacks reducing the quantity demanded of snacks; (2) as a compliment to movie watching, this results in a decrease in demand for movie tickets (though a significant percentage of candidates incorrectly used the phrase “results in a decrease in quantity demanded for movie tickets”); and (3) resulting in a decrease in the price and quantity (sales) of movie tickets.

Question 1(f) – 4 Marks

This question required candidates to analyse how a change in the price of snacks would affect the movie ticket sales. To answer the question fully, candidates were required to calculate the percentage change in the quantity of tickets sold given a change in snack prices.

Overall performance was less than satisfactory. Though most candidates were familiar with the cross-price elasticity formula, they had difficulties in re-arranging it to arrive at a numerical result that would answer the question. This indicates that candidates would benefit by working through more numerical questions as part of their examination preparations.

Question 1(g) – 8 Marks

This question required candidates to fill in a table that would allow them to reach conclusions as to how the two related events together would affect the equilibrium price and quantity (of sales) of the movie tickets.

Overall performance was less than satisfactory. Candidates who correctly answered parts (d) and (e) mostly got the first two rows of answers in the table correct. Most of them, however, failed to consider the complete sets of possible “net” outcomes when



the effects of the two events were against each other. Candidates are advised to develop a solid understanding in key economics topics.

Question 2(a) – 4 Marks

This question required candidates to define three related terms: inflation, stagnation, and stagflation.

Overall performance was less than satisfactory. Most candidates were able to provide a less-than-exact definition for inflation, and a very small number of candidates demonstrated a rough understanding of stagnation and stagflation.

Question 2(b)(i) – 2 Marks

This question required candidates to explain why economists generally prefer using Consumer Price Index (“CPI”) to measure cost of living.

Overall performance was unsatisfactory. Most candidates were unable to come up with either of the two basic arguments/features of CPI (e.g., the index includes domestic and imported goods consumed by a typical urban family). This reflects the lack of preparation of key macroeconomics topics.

Question 2(b)(ii) – 2 Marks

This question required candidates to discuss the potential problems of CPI that might undermine its usefulness as a reliable measure for cost of living.

Overall performance was unsatisfactory and, indeed, worse than part (b)(i). Most candidates ran into the same problem as encountered in part (b)(i) with identifying the key features of CPI as a price index. This brings up the same observation made for part (b)(i) above. Better preparation for macroeconomics topics is required, especially for those with a weak background in economics.

Question 2(c)(i) – 2 Marks

This question required candidates to analyse the costs of inflation in terms of its redistribution and deadweight loss effects.

Overall performance was poor. The overwhelming majority of candidates were clearly unfamiliar with the terms and concepts behind them, though detailed discussions could be found in the study guide for the module. This highlights the fact that candidates tended to focus only on the more popular issues and ignored the rest.



Question 2(c)(ii) – 2 Marks

This question required candidates to state and describe one example of the redistribution effects brought about by inflation.

Overall performance was unsatisfactory. Given the performance achieved in part (c)(i), this result is not unexpected.

Question 2(d)(i) – 2 Marks

This question required candidates to use the aggregate demand-aggregate supply (AD/AS) model to explain how a supply chain disruption might cause a stagflation (i.e., a simultaneous increase in inflation and decrease in growth as measured by GDP).

Overall performance was satisfactory. Some candidates were able not only to come up with some ideas about supply chain disruptions but also explain how a leftward shift (as a result of the supply disruption) of the AS curve would result in an increase in price and a fall in output.

Question 2(d)(ii) – 4 Marks

This question asked candidates to explain the two types of inflation using the AD-AS model.

Overall performance was unexpectedly poor. As demand-pull inflation and cost-push inflation are standard issues covered in macroeconomics, the poor performance may be attributed by candidates' insufficient exam preparation and their weak background in economics.

For candidates with no or weak economics background, they are advised to spend sufficient time to read the study guide and the suggested economics books for this module.

Question 2(d)(iii) – 4 Marks

This question asked candidates to explain why economists in general are of the view that monetary policy would be less effective in dealing with stagflation.

Overall performance was unexpectedly poor. Not many candidates could provide logical analysis using the AD-AS diagram.

Question 3(a) – 4 Marks

This question required candidates to explain what sampling is and how it is related to

statistical inference.

Overall performance was less than satisfactory. Most candidates were unable to define in a sufficiently clear way what sampling is. One common conceptual mistake that many candidates made was confusing “sampling” (in general) with “random sampling”. A lack of sufficient preparation and a weak statistics background seem to be the two major factors that accounted for this issue.

Question 3(b) – 4 Marks

This question required candidates to complete a flow diagram that showed how the two major areas of statistics (i.e, descriptive and inferential) could be used to generate useful information from data drawn from the interested studied group (the so-called “population”).

Overall performance was satisfactory. Overall, candidates showed a solid understanding of the basic ideas as to how statistics work as an “information generator/processor”.

Question 3(c) – 2 Marks

This question asked candidates to explain the two basic types of data: time-series and cross-sectional.

Overall performance was less than satisfactory. Most candidates’ answers showed that they were completely unfamiliar with the terms.

Question 3(d) – 6 Marks

This question required candidates to state and describe the four components of time series.

Overall performance was poor. The vast majority of candidates did not understand the question requirements due to their weak statistics backgrounds.

Question 3(e) – 4 Marks

This question asked candidates to perform some standard calculations on percentage growth (in sales).

Overall performance was satisfactory. Most candidates were able to conduct some calculation workings correctly. The idea behind this question is the belief that it is important that candidates are equipped with the ability to apply basic quantitative skills for daily business-decision making.



Question 4(a) – 3 Marks

This question required candidates to define sampling error and confidence interval. Overall performance was satisfactory.

Question 4(b) – 3 Marks

This question required candidates to determine if the statement provided was true or false, with supporting arguments. Overall performance was satisfactory.

Question 4(c)(i) – 3 Marks

This question required candidates to determine the confidence interval for a population proportion. Overall performance was satisfactory.

Question 4(c)(ii) – 3 Marks

This question required candidates to determine if the statement provided was true or false, with supporting arguments. Overall performance was poor. This was a difficult question that required candidates to have good comprehension ability/skills and understanding of the technical and conceptual issues involved.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was worse than the previous cohort.

The key factors that held back the candidates' performance seemed to be a lack of comprehensive preparation for the examination materials that are covered in the Study Guide and a poor background in economics and/or statistics. Another point to note is that candidates need to be prepared, physically and mentally, that questions relating to current economic issues may come up in the examination in future.

To deal with the issues identified above, the most efficient and effective way is for candidates to gain a basic but solid understanding of the whole syllabus and the types of questions they may encounter in the examination. This can be achieved by going through the reference readings assigned for this module. It would also be very helpful if candidates could spend time going through past examination questions to familiarise themselves with how the issues are typically examined. For candidates with weak economics and statistics background, reading relevant reference books on both subjects along the way should be an integral part of the preparation process.